



Think Ahead

OXFORD BROOKES UNIVERSITY



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Analyse and evaluate the business and financial performance of Coca Cola over a three year period from 2022-2024, operating in a sector that has faced strategic and operational challenges with highlighting on how management have addressed these challenges.

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Introduction

The reason behind choosing topic 8

I chose Topic 8 for my project because it will benefit my career launch by strengthening my analytical and critical thinking abilities and allow me to apply the knowledge I have acquired throughout my ACCA journey to real-world scenario. This topic will teach me how company's management genuinely addresses operational and strategic challenges that impede the organization's ability to expand. Additionally, I had just finished my ACCA journey and was concurrently looking for work. Given the circumstances, Topic 8 was a suitable choice for me because I lacked the time to wander about, gathering primary data.

The reason for selecting the food and beverage sector

The food and beverage industry has struggled with changing customer tastes, public health awareness, and other technical considerations, which attracted me. The food and beverage industry is one of the most regulated in the world, with regulations imposed by the FDA, EPA, and others that prioritise food safety, health, and labeling. (GM Insights, 2025). But still its contribution to economy is increasing because of capable management handling challenges effectively. So, I was eager to research deeply into the same.

Justification for choosing Coke as main organization and PepsiCo. as its comparator

More than 200 countries have presence of Coca-Cola Company. It has been ranked as the most valuable brand in the world, catering to an average of 1.9 billion people per day (Brandemic, 2022). But health, packaging, and environment sustainability continue to be the primary challenges affecting Coca-Cola, particularly the mounting pressure for reduction of sugar content, plastic use and waste, and CO₂ emissions (CO₂ Sustain, 2023). So, these factors encouraged me to find out management is reacting to these challenges.

Furthermore, PepsiCo is considered as the biggest rival in the history of Coca Cola. It covers everything from legal fights to marketing warfare to changes in global market domination. So, it was chosen as a competitor to compare and contrast the performance of Coca Cola.

Research aim and objectives

The aim of research is to put an emphasis on how management of Coke is responding to strategic and operational challenges, facing in food and beverage sector.

Research objectives

- To apply business models like PESTEL and SWOT analysis to analyses and evaluate Coca Cola's business performance.
- To evaluate Coke's financial performance from 2022–2024 using ratio analysis in relation to its rival PepsiCo..
- To analyses the strategic and operational challenges through application of business models.
- To focus upon how management has addressed the challenges .
- To conclude in the end, providing a glimpse of the environment in which Coke operates amid challenges.

Research approach

An explanation and justification for research approach adopted

My starting point was to completely absorb information pack to avoid even penny mistakes which can cause failure of project. It was stated in the information pack that topic 8 requires the utilization of secondary data. I gathered data extensively from Google. Since ACCA's official website offers trustworthy and objective information, I also read technical articles to have command over ratios formulae and business models. I also looked through some online newsletters, like Financial Times, to find out about the F&B sector and corporate information. Since the official website of both companies was trustworthy source of information, the published annual reports were utilized from same.

Limitations of gathering information

Information gathering presented many challenges, such as the abundance of websites that contained conflicting information, casting doubt on the veracity of the information. So, information has to be cross checked from multiple sources to avoid inclusion of incorrect information in report. Additionally, certain websites, such as Reuters, only

offered two or three articles for free, and then subscriptions were required. The cost of purchasing subscriptions for multiple websites was financially challenging. The dates and author names were missing on certain websites, due to which sometimes, I had to switch to other websites which was quite time consuming.

Justification for selection of financial statements

For the sake of comparison of Coke with PepsiCo, I downloaded the annual reports of previous four financial years from the corporate websites to evaluate comparison of financial year 2021 with 2022, 2022 with 2023 and 2023 with 2024. These financial statements served as a trustworthy and objective source for my analysis and evaluation of company's performance.

Ethical Issues considered while doing rap

I became an ACCA Affiliate in October 2025 and realise the work I put into earning this distinguished degree. ACCA Code of Ethics and Conduct is well-known to me. Several issues challenged my morality. To protect research integrity, I avoided copying others' work. My research was meticulous to avoid plagiarism. For using only reputable and accurate data, I used company websites and trustworthy news stories. To give authors credit, every online work is properly attributed using Harvard referencing.

BUSINESS AND ACCOUNTING MODELS USED

PESTEL Analysis, its advantages and limitations

The business environment in which a company operates can be assessed using a strategic framework called PESTEL analysis (Kyle Peterdy, n.d). The research is able to separate the company from competitors and help detect external challenges by studying macro environmental developments. (Target Internet, n.d). The PESTEL model uses the following elements to examine the macro environment:

Political factors: The methods, degree of government intervention in businesses, government's political stability, laws and policies, can all have an effect on an organization (Indeed editorial team, 2025).

Economic factors: It comprises interest rates, inflation rates, economic growth, current and projected economic stability, and the unemployment rate, having an impact on businesses (Lucid Software, n.d).

Social factors: Social factors are centered on the behaviors and trends of society that impact market demand and consumer wants. Demographics, cultural trends, educational attainment, and changes in lifestyle are some of these (Chris C Fox, 2023).

Technological factors: This refers to R&D, automation, and the degree of technological knowledge in a market that may have an impact on how the industry and market function, either positively or negatively (Yasser Zannoun, 2016).

Environmental factors: Weather, climate, climatic changes, environmental offsets, CO2 emissions, global warming concerns are examples of environmental factors (Vipul Chandra, n.d).

Legal factors: Employee rights, workplace safety requirements, and minimum wage rules are just a few of the labour laws and regulations that businesses must keep up with because noncompliance can result in legal repercussions (Fabyio Villegas, n.d).

Advantages:

- Aids in recognizing the company's macro environmental risks and assessing the effects of those threats on same (Editors team, 2022).
- It also draws attention to opportunities like through the evaluation of economic, social, and technological factors, new markets and product breakthroughs can be discovered (Michael Martin, 2024).
- It promotes strategic and external thinking, which leads to a deeper and more comprehensive awareness of the corporate environment (Ritesh Pathak, 2020).

Limitations:

- It entails collecting and evaluating data on a range of external variables, which produces lot of data that can be difficult to sort through and prioritize (Paul Mills, n.d).
- To find all the pertinent aspects, it sometimes becomes complicated and time-consuming, requiring a great deal of research (Bakkah Learning, n.d).

- Because external factors are dynamic, they can change quickly, making the findings of PESTEL analysis outdated (Arti, 2023).

SWOT Analysis, its advantages and limitations

SWOT (Strengths, Weaknesses, Opportunities and Threats) Analysis is a framework for assessing a company's competitive position and for strategic planning. In addition to evaluating the potential for the future, it evaluates internal and external elements (Will Kenton, 2023).

It enables:

- Identifying company's strengths to capitalize and expand upon
- Determine the company's weaknesses and take appropriate action
- Determine prospective opportunities for development and growth
- Mitigate possible threats that could affect success (Clickup, n.d)

Advantages:

- It makes it possible to foresee upcoming business threats and take steps to lessen or eliminate their effects (CIPD, 2025).
- Help identify areas for resource optimization which enhances efficiency and productivity (Gavin Bottrell, 2023).
- Finding external elements that potentially affect performance is where SWOT excels. It pushes researchers to think forward and consider possible future events (Alicia Raeburn, 2025).

Limitations:

- SWOT is a useful tool, but it is not the only solution; it should be used in conjunction with other models to validate findings and make data driven business decisions (Sebastian Duncan, 2024).
- It draws on a variety of sources of information, yet information suppression might result in an insufficient framework, potentially leading to objectives not achieved (Daniel Pereira, 2023).
- It doesn't automatically offer answers or concrete actions. It is a diagnostic instrument rather than a prescriptive one (Daniel Pereira, 2024).

Ratio analysis

A technique known as ratio analysis compares and assesses a company's financial performance over time by examining its income statement and balance sheet (Paytm,

2024). Ratios offer a consistent method of evaluating several areas of a business's performance over time and contrasting it with competitors to determine financial health (Muskan Verma, 2024).

The ratios listed below have been used in RAP:

- Return on capital employed (ROCE): It is employed to assess a business's capital efficiency and profitability to understand the return business is earning through capital invested (Grow, n.d.).
- Return on equity: It looks at the business's efficiency and profitability from the viewpoint of its shareholders which analysts use to assess the company's capacity to make profits by utilizing shareholders' capital (Shrishti Bhardwaj, 2023).
- Operating profit ratio: It is essential for comprehending the company's operational processes' financial health without being distracted by unnecessary costs (Kit Morris, n.d.).
- Gross profit margin: It is a proportion of a business's sales that can be turned into gross profit which enables to gauge how well it generate profits from the sale of goods and services (Scott Beaver, 2020).
- Assets Turnover: This ratio evaluates the value of a company's assets in relation to revenues, indicating how well a company uses its assets to generate revenues (Adam Hayes, 2024).
- Current ratio: A company's capacity to settle its short-term debts with its short-term assets is assessed using the current ratio, with higher current ratio denotes a stronger liquidity position (Stripe, 2024).
- Quick ratio: It is computed by dividing current liabilities by the most liquid assets. Short-term investments, net receivables, cash, and cash equivalents are examples of these liquid assets (Urmi Sengupta, 2024).
- Earnings per share: It is a financial measure that shows how much of company's profit is distributed to each outstanding share of common stock, often used by investors to evaluate a company's financial health (SBI Securities, 2024).
- Debt to equity ratio: It is calculated by dividing long term debt of a company to total shareholder equity, giving investors an indication of how readily a company can pay down its debt (Navi team, 2023).
- Interest coverage ratio: It is employed to assess a company's probability of being able to cover interest on its current outstanding debt. A low ICR means that a business is less likely to pay interest (Dhan, n.d.).

Advantages:

- By evaluating a company's performance over time or directly comparing it to similar companies in the sector, ratio analysis provide insight into the financial health of a company (Ridhi Sikri, n.d).
- Ratios are useful for tracking and identifying challenges that can be recognized and fixed by management (BBC, n.d).

- By analysing profitability, solvency, and liquidity, ratio analysis aids in determining the financial needs and capacities of business units (Commerce Mates, 2020).

Limitations:

- Due to the periodic release of financial statements, there are variations in the time between releases. Real prices are not shown in the financial accounts if inflation has taken place in between periods (CFI Team, n.d).
- Even if two businesses compete in the same market or industry, their business conditions may not be similar which may distort comparison (Abey Francis, n.d).
- Comparing businesses with different accounting procedures might become less useful due to the impact of different accounting principles and methods on ratio calculations (Sanjay Bulaki Borad, 2022).

APPLICATION OF THE ACCOUNTING/BUSINESS MODELS

Introduction of companies

One of the world's largest beverage producers, the Coca-Cola Company was established in 1886 in Atlanta, Georgia. It offers a global portfolio of more than 200 brands.(Coca Cola, 2024) Coca-Cola implements sustainability-oriented strategies in over 200 countries. In 2024, the corporation possessed an approximate 44.9% market share in the U.S. carbonated soft drink market. (Maitrayee Dey,2025) The objective is to recycle 35–40% of the primary packaging material and to return over 100% of the water used in finished products on an aggregate basis.(Gabelas Makmur Simamora, 2024)

Since 1965, New York-based PepsiCo has been a significant global food and beverage corporation operating in over 200 countries.(Britannica Money, n.d.)Owns Notable brands include Tropicana, Lay's, Gatorade, and Quaker.(Forbs, n.d.)To satisfy changing customer expectations, PepsiCo also invests in water stewardship, recyclable packaging, and carbon-neutral projects.(Georgia Sweet, 2025)

PESTLE ANALYSIS

1. POLITICAL FACTORS

- *To ensure food safety and proper labeling in the food and beverage industry, the Food and Drug Administration enforces strict regulations. Non-compliance can jeopardize a company's reputation and finances through fines, penalties, or legal action, necessitating robust compliance systems and oversight (Tammy Gamble, 2023).*

The Federal Competition and Consumer Protection Commission (FCCPC) in Nigeria fined Coca-Cola Nigeria Ltd. and its affiliate NBC fined N186 million 'approximately US\$0.45 million' in 2024 for allegedly using deceptive labeling and marketing strategies for "Original Taste" and "Original Taste – Less Sugar." (Favour Okpale, 2024).

Following the discovery of Salmonella Cubana in the production environment, the U.S. Food & Drug Administration sent a warning letter to PepsiCo's Danville, Illinois facility in June 2024 for violations of current good manufacturing practice and preventive controls (21 CFR Part 117) (FDA, 2024).

- *Geopolitical conflicts impact the business and international markets in a negative way. One such example is the Ukraine-Russia war which has impacted the food and beverage sector. Both countries make around 13% of the world's total wheat production and sanctions on Russia has impacted the supply, and in retaliation, the supplies to the west have been cut (Mohamad Ikhwan Syahtaria,2022).*

Coca-Cola suspended operations in Russia, which accounted for 2% of its operating revenue and 20% stake in the bottling and distribution business, after being under pressure and facing the #BoycottCocaCola on Twitter (BBC, 2022).

In addition, PepsiCo. suspended the production and sale of its beverage brands in Russia, including 7Up & Miranda in the future (Mary Ellen Shoup,2022).

2. ECONOMIC FACTORS

- *Food and beverage producers continue to face supply chain issues as customer needs change, interruptions from the pandemic and*

geopolitical instability persist and inflation and recession fears diminish resilience (c2fo, 2023).

The structure of Coca-Cola's supply chain is reliant on sustained cooperation with bottlers and retail partners. Establishing robust strategic alliances with reliable, seasoned suppliers is essential for success (Robert Brice, 2023).

The secret to Pepsi's success in the beverage business is its supply chain strategy, which includes careful sourcing, simplified production, effective distribution and cooperative relationships. Its supply chain guarantees product availability, operational efficiency, cost reduction and competitive advantage in a market changing quickly (Dfreight, 2023).

- *Recently, the world has faced high inflation. The United States inflation was 6.2% in October 2021, the highest in more than thirty years (Drew Desilver, 2021). It hit the sector hardly with an impact on the shifting consumer patterns, high operating and manufacturing costs (Danilo Diazgranados, 2022).*

To counteract inflation, Coca-Cola has increased its pricing; nevertheless, the company claims that this had no effect on demand for its beverages in the fourth quarter of 2022. It raised prices because of ingredient and freight costs all year long or has placed some beverages in smaller value packaging (Dee-Ann Durbin, 2023).

PepsiCo. also experienced significant inflationary pressures in 2022. To preserve margins in the face of rising labor and commodity inflation, the company raised its average price by 12% in Q2 2022 due to the skyrocketing costs of ingredients and freight.(Amelia Lucas, 2022).

3. SOCIAL FACTORS

- *Social factors like health consciousness and lifestyle changes have had a big impact on the beverage sector. Low-sugar, natural, and functional beverages are growing in popularity (Industry research 2024).*

Coca-Cola expanded their beverage lineup to include diet and zero-calorie options in response to health issues including diabetes and obesity. The company's goal was to draw in customers who wanted to cut back on sugar while still enjoying their favorite beverages. (Tushar Batra, 2023).

Pepsi Co aims to reduce the amount of added sugars, saturated fat, and sodium in their products by 2025. In particular, it strives for at least 67% of its beverage portfolio to contain less than 100 kcal of added sugar per 355 ml serving (Hui Ling Dang, 2024).

- *Influencer marketing and social media play pivotal roles in shaping beverage consumption, particularly among Gen Z and Millennials. Traditional advertising is being supplanted by social media trends, influencer endorsements, and viral campaigns, with platforms like YouTube, Instagram, and TikTok significantly affecting brand perception and beverage discovery.* (Global Data, 2021).

A significant rise in online engagement in 2023 was the consequence of Coca-Cola's significant investment in digital marketing strategies, such as the "Create Real Magic" AI campaign and influencer partnerships through challenges .(Peter Adams, 2023).

PepsiCo. has also focused on social media campaigns like the #PepsiBlackEffect challenge and musical collaborations to strengthen brand relevance and emotional connections with younger consumers. (Shreya Negi, 2022).

4. TECHNOLOGICAL FACTORS

- *In order to expedite product development, customize customer experiences, and streamline production processes, the sector is implementing generative AI, IoT-driven manufacturing intelligence, and machine learning* (Panorama Consulting Group, 2025).

The development of technology is essential to both innovation and cost reduction. Coca-Cola has incorporated artificial intelligence and data analytics to enhance customer engagement and customize flavors. Through the 2023 "Coca-Cola Creations" AI effort, consumers worldwide were able to collaborate on creating digital flavors (Sarah, 2024).

PepsiCo, on the other hand, expanded its Digital Factory Program by integrating the Internet of Things and predictive analytics to increase production efficiency and reduce waste (John Kell, 2024).

- *Food safety, provenance, and consumer trust are being strengthened by the end-to-end visibility that blockchain and digital traceability systems provide in food and beverage supply chains, which are expanding quickly (FMI Blog, n.d.).*

In order to provide real-time line monitoring, inventory traceability, and end-to-end supplier visibility throughout its value chain, Coca-Cola implemented digital twin applications, warehouse automation, and a digital planning platform.(Coca Cola HBC, n.d.).

PepsiCo. Europe revealed that PepsiCo. Labs, its tech-venturing division, would work with six startups to test solutions, such as a blockchain-based digital tracking system for closed-loop recycling and packaging waste (Packing Europe, 2022).

5. LEGAL FACTORS

- *A growing number of consumer fraud lawsuits have been filed against food and beverage corporations, alleging that their “all-natural” labelling is deceptive because it contains preservatives or additives (Abbie, Judi and Jaime, 2023). According to Perkins Coie LLP’s sixth annual report on legislation in the sector, approximately 300 class action lawsuits were brought against the industry in 2021 (Josh Long, 2022).*

Coca-Cola faces a lawsuit for allegedly deceiving consumers regarding its Simply Tropical Juice, claiming it to be all-natural despite containing harmful ingredients. A third-party evaluation indicated that PFAS levels in the juice were significantly above federal drinking water guidelines (Brittney Grimes, 2023).

In a lawsuit, PepsiCo. was accused of using "mold-made" citric acid in its snack product Poppables, despite marketing a "No Artificial Flavors" claim that contested the "natural" labeling.(Gill Hyslop, 2025).

- *Public health is still at risk from food marketing. Governments should enact strict and thorough regulations because children are still exposed to strong food and non-alcoholic beverage marketing.(WHO, 2023).*

Coca Cola states that it does not market its products to audiences with over 35% children under 12, and it commits to avoiding marketing to children under thirteen or in media where 30% of viewers are young people (Coca Cola, n.d.).

We only advertise products to children under the age of 13 if they meet specific nutritional requirements, and we do not advertise any products to children under the age of six, regardless of their nutritional content, states PepsiCo. (PepsiCo., 2023)

6. ENVIRONMENTAL FACTORS

- *The proposed amendment to the UNESDA Soft Drinks Europe packaging law intends to increase beverage refilling or reuse, mandate recycled plastics, and make packaging completely recyclable by 2030.(Rachel Arthur, 2022).*

Coca-Cola is collaborating with bottling companies to innovate in package design, production, and recycling, focusing on sustainable practices that prioritize recycling and reuse, leveraging advanced technology, and building a cooperative recycling network. (Oumar Fofana, 2023).

PepsiCo. said that as part of a new program dubbed Pep+, it will utilize half recycled content in its plastic packaging and cut the amount of virgin plastic used per serving by 50% across its global food and beverage portfolio by 2030 (Christopher Doering, 2022).

- *Purified water is crucial in the food and beverage sector for enhancing sustainability and operational efficiency, leading companies to set ambitious sustainability goals for effective water resource management (Dupont, n.d.).*

Coca-Cola has established three goals to enhance its water initiatives, focusing on achieving water security in its operations, local watersheds, and the communities that supply agricultural ingredients, as highlighted during the UN 2023 water conference.(ESG News, 2023).

PepsiCo. has expanded its water-purification system at its Veurne, Belgium plant to reuse up to 95% of filtered process water, significantly increasing from about 50%. The plant also collects and reuses rainwater, which reduces its fresh water consumption.(PepsiCo., 2022).

SWOT ANALYSIS

1. STRENGTHS

- *Effective production and extensive reach are driven by a global distribution network and advanced manufacturing capabilities, exemplified by the growth of the soft drink market in India in 2023, attributed to improved cold-chain logistics and e-commerce platforms. (Pranav Krishn, 2024).*

Coca-Cola leverages cost and scale advantages from its global presence and established manufacturing footprint, utilizing worldwide bottlers to enhance production efficiency and geographic accessibility (Rajani Lohia, 2025).

PepsiCo employs a hybrid bottling strategy, combining direct ownership and franchising to maintain control over key assets while effectively scaling production and distribution through local partners across various regions (Nikhil Adhyankar, n.d.).

2. WEAKNESSES

- *Over the past 50 years, the beverage sector has been criticized for excessive plastic usage, with most bottles improperly disposed of and ending up in landfills and rivers. (CO2 Suatain, 2022). Approximately 36% of all plastics produced are used in packaging. This single-use plastic food and beverage containers, 85% of which end up in landfills or as mismanaged waste.(UNEP, 2023).*

Coca-Cola reported that 28% of its primary packaging globally consisted of recycled materials in 2024 and aims to increase this to at least 35% by 2035. (Maria Rachal, 2025).

PepsiCo plans to replace plastic rings on beverage multipacks in the U.S. and Canada with recycled paperboard designs to reduce virgin plastics (Cole Rosengren, 2023).

- *Aspartame was declared possibly carcinogenic to humans (Group 2B) by the Joint FAO/WHO Expert Committee on Food Additives (JECFA),*

which prompted industry-wide scrutiny of artificial sweeteners in soft drinks.(IARC,2023).

Coca Cola faces regulatory risk due to the World Health Organization's upcoming classification of aspartame, which may affect reformulation costs and consumer perception (The Business times, 2023).

Government measures against sweetened carbonated drinks pose a danger that may lower PepsiCo's sales from impacted market groups.(Pauline Meyer,2024).

3. OPPORTUNITIES

- *To enhance operations and meet customer demands, the fast food and beverage sector is increasingly adopting AI and advanced technology, benefiting manufacturers and restaurants by ensuring quality control (Appit, n.d.).*

Coca-Cola has integrated AI into its beverage business through a limited product line and enhanced event experiences. The Coca-Cola Y3000 Zero Sugar, characterized by a vibrant visual identity influenced by global customer feedback, reflects consumer emotions and aspirations (Nishita Kunder, 2023).

PepsiCo. uses AI tools TASTEWISE and TRENDSCOPE to monitor menus and social media comments, decreasing research and design time and allowing new products to be launched in months rather than years (Brad Thomas, 2023).

- *As wages increase and consumer preferences evolve, food businesses can expand into new markets in South America, Africa, and Asia, providing opportunities for growth and adaptation to changing demands, which promises long-term success (Nalini, n.d.).*

Coca-Cola aims to enhance its global growth by expanding in emerging markets like India, strengthening its presence in developing countries, forming strategic partnerships, and investing in sustainable initiatives. (Anurag Sharma, 2023).

PepsiCo's global beverage division is achieving 11% organic growth driven by markets including China, India, Egypt, Turkey, Mexico, Brazil indicating growth in both Asia and Latin America (Barchart,n.d.).

4. THREATS

- *There is fierce competition in the food and beverage sector. There is little doubt that the food business will see more rivalry, with projections indicating that the market will reach \$4.4 trillion by 2028 (SavorEat, 2022).*

Coca-Cola faces challenges to its market share and pricing power due to the emergence of strong local competitors, particularly in key markets such as India, where brands like Campa Cola have adopted aggressive pricing strategies since 2022–2023 (Economic times, 2025).

PepsiCo's CEO Ramon Laguarta states that the company is becoming more competitive in various sub-segments by enhancing core products and introducing new offerings that attract and encourage more frequent use among customers. (Food&Beverage Business, 2025)

- *Due to the conflict in Sudan, there could be a shortage of Gum Arabic- a key ingredient for beverages. The Sahel area, which is riven by violence between the army and paramilitary groups, produces acacia trees that account for around 70% of the world's gum Arabic and the manufacturers are forced to stock the ingredient (Arab news, 2023).*

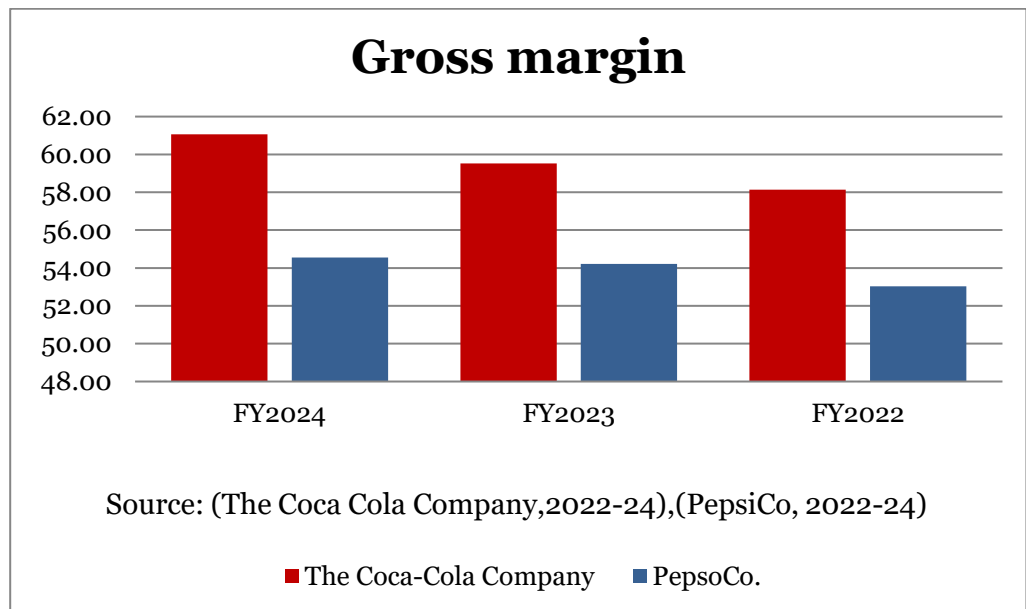
Coca-Cola faces ethical and reputational risks due to smuggling and uncertified sourcing in Sudan's war zones: the paramilitary organization Rapid Support Forces (RSF) is said to control important gum-harvesting areas and collect fees, so supply-chain transparency is unclear (Richa Naidu and Khalid Abdelaziz, 2025).

The drinks business has reached out to global suppliers like PepsiCo. concerning gum Arabic stockpiles, but responses are pending. Companies typically store gum Arabic for three to six months to avoid shortages. However, ongoing disputes could worsen issues for the sector, (Jessica Mason, 2023).

RATIO ANALYSIS AND EVALUATION

1. PROFITABILITY RATIO

(A) GROSS MARGIN



In the year 2022 because of Ukraine-Russia war has impacted Coca-Cola as it suspended business in Russia (BBC, 2022) and the company warned in 2022 that its sales and operating income would decline by 1% to 2% (Will Feuer, 2022).

Despite inflation with a macro economic outlook, consumers have resisted trading down, but Coke's Q1 2023 performance was excellent. Return of out-of-home shopping activities boosted worldwide sales by 3% yearly. The company maintained its 7-8% organic growth forecast hence resulting in increase of gross margin for the year. (Peter Adams, 2023)

In 2024 Enhanced pricing and mix according resulted in, organic revenues increased by about 12%, fueled by gains of about 11% in price and mix and about 2% in volume in its core business, which helps to support margin expansion (Coca cola company, 2024).

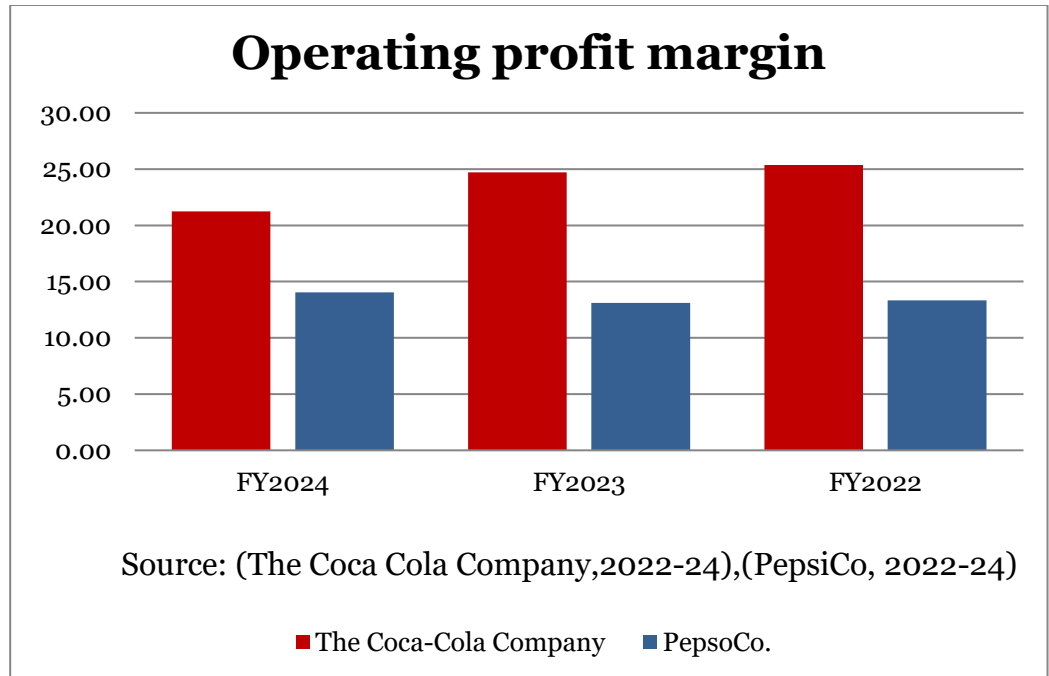
Also by lowering the cost-of-goods-sold per unit, efficiency from an asset-light or bottling partner model helped to lower exposure to fixed manufacturing costs, which can support higher gross margins, even though it is more operational (Stock Analysis on net, 2024).

In order to combat inflation in ingredients and logistics, PepsiCo successfully implemented large price increases (14%–16%) in food and beverages, helping to maintain margins in the face of volume pressure, according to its 2022 outlook (Dee Ann Durbin, 2023).

Since 2022, PepsiCo has cut its stock-keeping units (SKUs) by 35%, Which result can be seen in the following years, these simplified operations and decreased costs per unit, lowering COGS and boosting the gross margin.(Alphasumer, n.d.)

In 2024, The company used generative AI in marketing, supply chain, product creation, and logistics. For example, reducing product development cycles and improving forecasting and warehousing to lower cost of goods sold. (Bhasker Gupta, 2024).

(B) OPERATING PROFIT MARGIN



As per the company 10-k report of 2022, due to recovery from the COVID-19 pandemic, the selling and distribution expenses rose high, along with the advertising expenses which stood at \$4319 million (Coca-Cola 10-k, 2022). In November 2021, Coca-Cola acquired Body Armor for \$5.6 billion to strengthen its sports drink offering (Pathikrit Bose, 2021), although, in the last quarter of 2022, Body Armor's sales declined which affected Coca-Cola overall and gradually decline in the operating profit margin. (Sports Business Journal, 2023).

As the company was adopting AI in its operations (Nishita Kunder, 2023), In the year 2023 advertising expenses were considerably high. With the profitable debut of an AI-based campaign and engaging local initiatives like the Coca-Cola Caravan Truck Tour, which visited over 16 million people throughout almost 60 countries, the business increased its marketing expenses in 2023 hence reducing its operating profit margin. (Melissa Bradshaw, 2024).

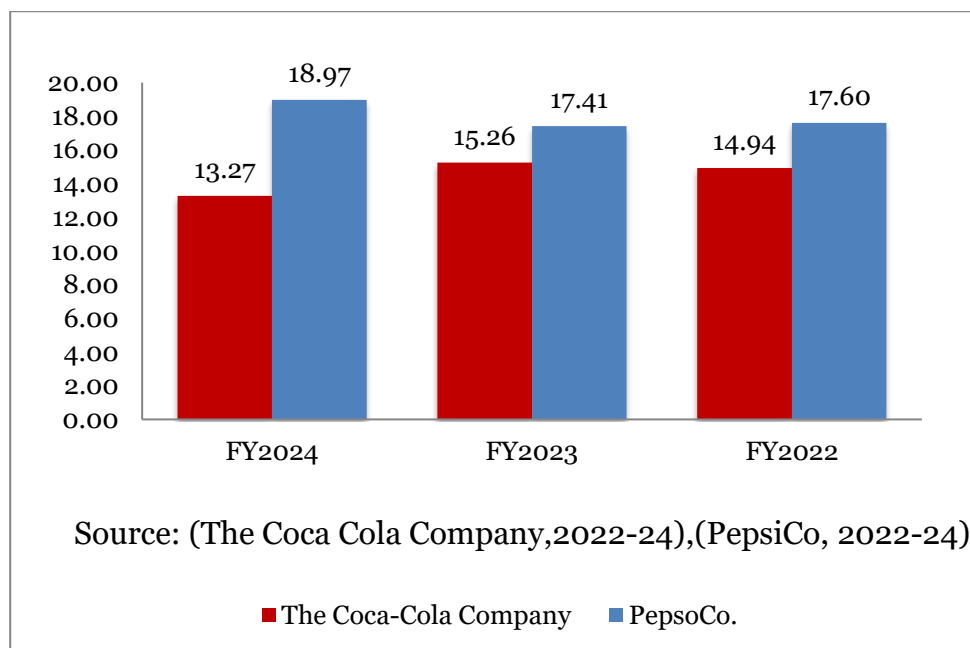
Coca-Cola's reported operating margin for the full year 2024 dropped from 24.7% to 21.2%, primarily due to a US\$3.1 billion charge associated with the re measurement of contingent consideration liability, higher input costs, and currency headwinds.(Coca Cola,2025).

Whereas PepsiCo.'s operating profit ratio was only decreased by 0.23% in FY2023 compared to FY2022, mostly as a result of increasing operational costs, such as greater selling, general, and administration expenditures, which climbed more quickly than revenue growth (PepsiCo., 2023).

PepsiCo. had to deal with 15% higher freight expenses, 6% higher labor costs, and 8%–12% higher commodity prices, all of which increased more quickly than their capacity to raise prices without losing consumers (PepsiCo., 2024).

Mainly due to Significant cost increases were imposed by post-pandemic inflationary pressures on the food and beverage industry, impacting labor costs, transportation costs, and raw material prices. But still they were able to manage the increased cost. (Weihao Dong, 2024).

(C) RETURN ON CAPITAL EMPLOYED



Coca-Cola's ROCE for 2022(14.94%), was higher than the industry average, indicating a sustainable competitive advantage. Despite a slight decline, the business was better as of number of international

beverage competitors, demonstrating persistence and sound financial management. (Yahoo! Finance, 2023).

In 2023, the ratio rose by 13.48%, the profit of the company increased and one of the factors is the growth of zero sugar coke volume sales of 5% (Niamh Carroll, 2024) which is due to the awareness of the health consciousness among the people in recent years and specifically after the pandemic (Tushar Batra, 2023).

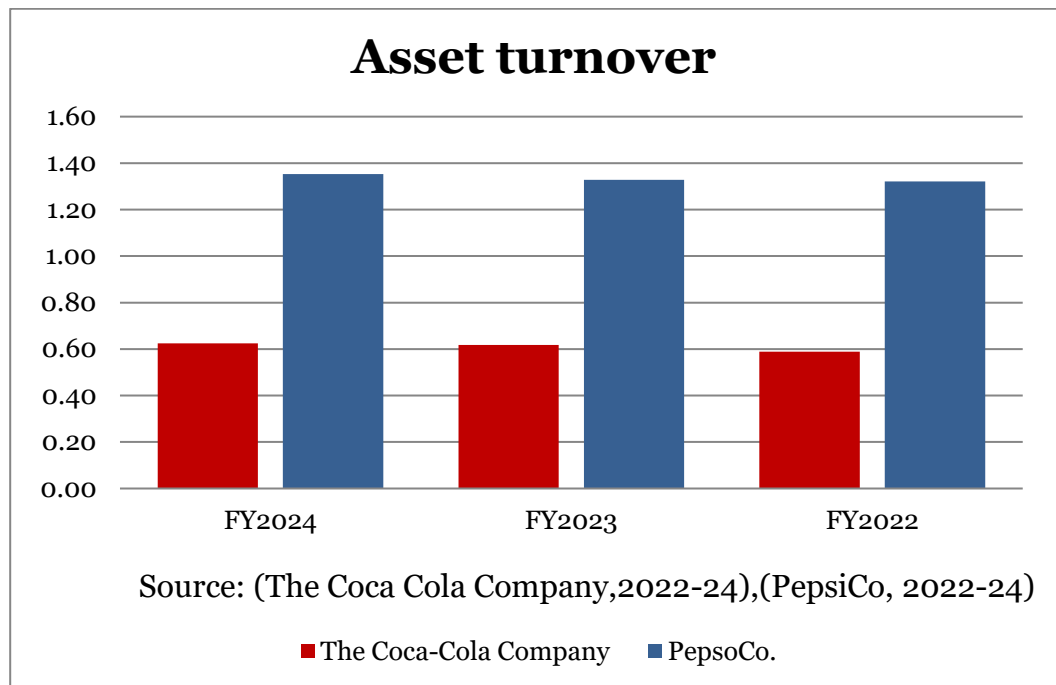
In the following years Due to increased operating and commodity costs, currency headwinds, and inventory accumulation, which decreased cash flow and profit margins, Coca-Cola's earnings fell in 2022–2023. Revenue increased, but net income recovery was constrained by slower volume growth and ongoing inflation pressures. (Coca Cola, 2024).

Where Coca-Cola's 2024 marginal decrease shows that, even with the effects of global cost pressures, the corporation did retain returns above the industry average for beverages by managing revenue well and allocating resources wisely and The success of the well-known brand depends on creating lasting memories and emotional bonds with consumers in addition to selling soft drinks. As we know Coca Cola connects with the consumers and sustains its leading position. (Xinyue Shen, 2025).

In comparison, PepsiCo's ROCE remained relatively stronger over the same period, standing at 17.6% in 2022, 17.4% in 2023, and 18.9% in 2024 (PepsiCo, 2024).

PepsiCo's 20% ROCE in 2024 demonstrates its excellent capital efficiency and ability to generate consistent returns. Indicative of high-rate reinvestment, the company has increased its capital employed by 22% over the last five years while maintaining a ROCE of roughly 20%. This track record points to a sustainable compounding business strategy that is consistent with its long-term profitability and growth in shareholder value. PepsiCo's efficiency and reinvestment strategy make it a potentially multi-bagger company with strong fundamentals, even with its higher valuation. (Yahoo! Finance, 2024).

(D) ASSET TURNOVER



According to data, Coca-Cola's fixed asset turnover, improved in 2022 (about 4.37) when compared to previous years, suggesting that its fixed assets were being used more effectively (Stock Data Online, 2023).

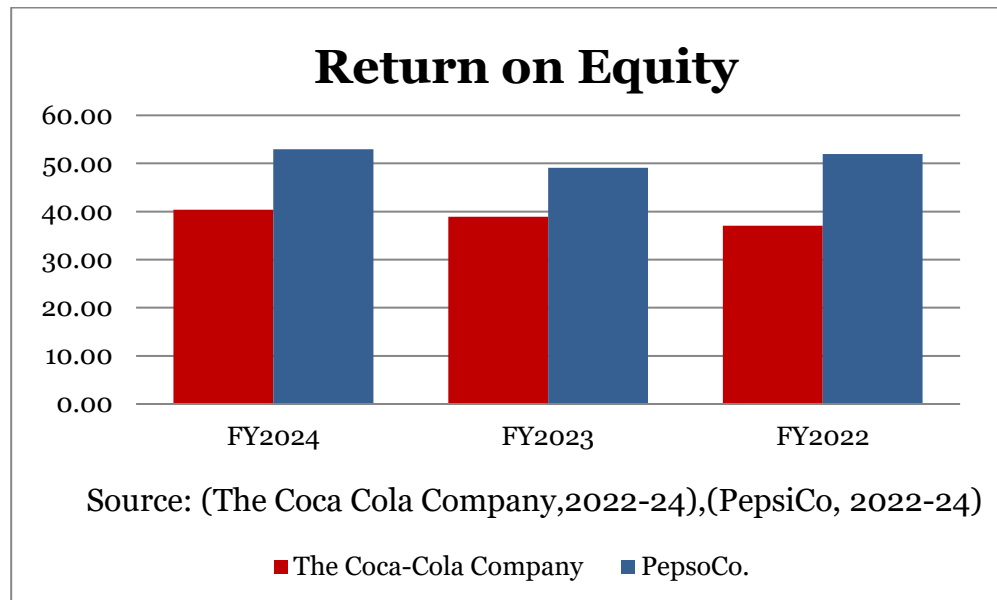
Coca Cola has created more than 400 brands, including those for water, juice, tea, coffee, carbonated drinks, and sports drinks, in response to the growing popularity of the Coca-Cola brand. Furthermore, the combined yearly sales of over 20 brands may reach \$1 billion USD. Which result can be seen in the following year. (Ziyao , Hanyue, 2022).

Despite inflationary headwinds, Coca-Cola also saw consistent organic sales growth of 11% in 2023, demonstrating operational resilience and more effective use of non-current assets (Jeff Gelski, 2024).

Whereas PepsiCo announced a \$216 million multi-year investment in long-term, strategic partnership agreements with three of the most well-respected farmer-facing organizations Practical Farmers of Iowa (PFI), Soil and Water Outcomes Fund (SWOF), and the IL Corn Growers Association (ICGA) to drive adoption of regenerative agriculture practices across the United States, Resulting in very steady ratio. (PepsiCo Inc.)(PR Newswire, 2023).

Sales for the first quarter increased 2.3% to \$18.25 billion. PepsiCo has been diversifying its product line by introducing products like Celsius energy drink and flavored Quaker instant oats. This emphasizes variety among snacks and functional drinks, which bolsters the claim of a more comprehensive product mix. (Ananya Mariam Rajesh, 2024)

(E) RETURN ON EQUITY



Compared to the beverage sector average of 15%, Coca-Cola has a higher return on equity near about 37%.(yahoo finance, 2023). Generally speaking, ROE will rise in tandem with net income. By taking on more debt financing, for example, one can artificially improve ROE without necessarily increasing profitability, as equity is equal to assets minus liabilities (Investopedia, 2024).

In the year 2023 raising income without a corresponding increase in equity, shows growth in emerging markets India, Brazil and unit case volume increases in 2023, and 2% growth overall in 2023 improved returns on equity.(The Economic Times, 2024).

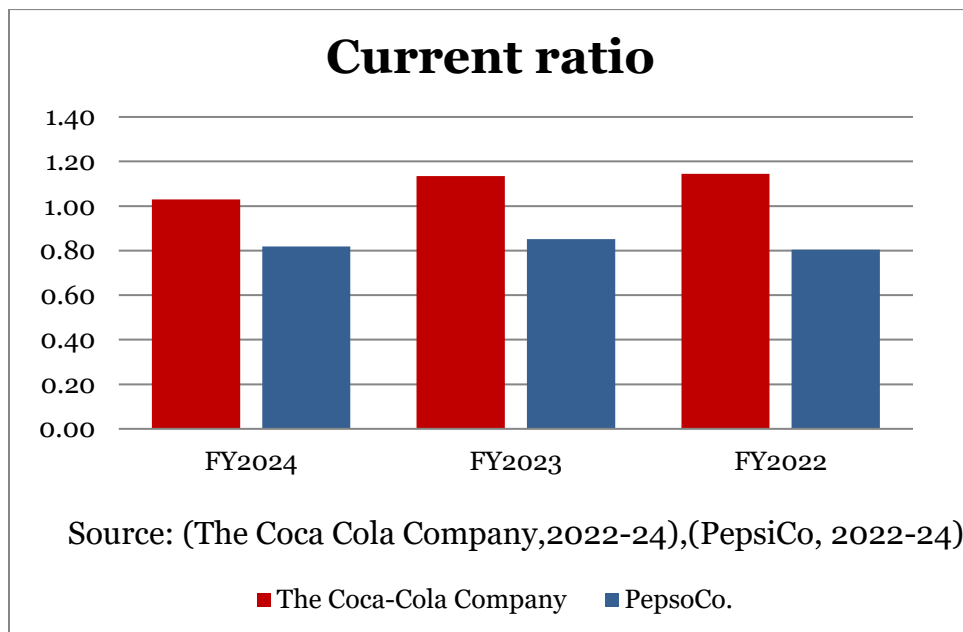
Additionally Improved operational efficiency in important markets is helping profitability and, consequently, ROE, as demonstrated by the fact that Coca-Cola's bottling partner arm in India saw profit more than double in FY 2023 (+116%) on a (+40%) revenue growth. This growth can be seen in both the years 2023 and 2024. (Suneera Tando, mint, 2023).

Comparing the ratio suggests that during 2022–2024, PepsiCo. produced larger returns from its equity base than did Coca-Cola. The distinction can be ascribed to PepsiCo's increased retained earnings and greater diversification across snacks and beverages, which boost its profitability per unit of equity investment (Oliver Blake, 2025).

PepsiCo's retained earnings (accumulated deficit) increased by approximately 3.19 percent from US \$70.035 billion in 2023 to US \$72.266 billion in 2024. This indicates that the company is keeping more of its profit internally rather than distributing it, which increases its equity base and supports higher ROE (Macrotrends, 2025).

2. LIQUIDITY RATIO

(A) CURRENT RATIO



In order to increase working capital efficiency and speed up cash conversion, Coca-Cola launched a supply-chain finance (SCF) program in 2022 and sold USD 610 million in trade receivables to partner

banks (Rabobank) and slightly improving the ration from previous year.(MarketScreener, 2023).

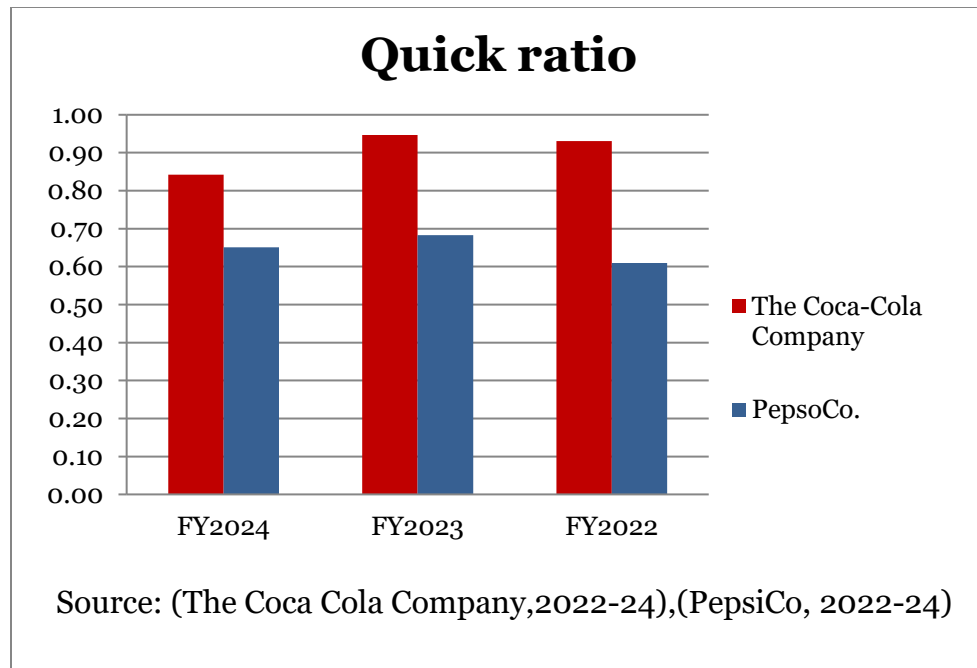
Coca-Cola's current ratio fell to 1.13 in 2023, mostly as a result of increased dividend outflows and short-term borrowings. The business raised short-term debt to finance marketing expenditures and share repurchases, but current-asset growth was also limited by foreign exchange translation losses from Europe and Latin America.(Coca Cola,2023).

Whereas in FY 2024, Coca-Cola's net working capital changed by -USD 6.234 billion. That represents a 636.88% decrease from the prior year, resulting a decline in current ratio. (Finance charts ,n.d.).

PepsiCo's current ratio has stayed comparatively steady, varying within a small range (e.g., 0.8 in 2022, 0.85 in 2023, and 0.82 in 2024) despite the increase in short-term debt. But still its less then 1 (PepsiCo..2024).

Due to strained liquidity caused by short-term borrowings and increased marketing and input costs, it slightly declined to 0.82 in 2024. Despite this, PepsiCo can easily meet its obligations without facing a significant liquidity risk thanks to its strong cash-generating ability and predictable consumer demand.(Wise sheets,n.d.).

(B) QUICK RATIO



As inflation and growing material costs put a strain on cash and increased short-term borrowing, Coca-Cola's quick ratio fell to roughly 0.93 in 2022. In order to offset rising input and freight costs, the company raised prices, which decreased liquidity (Uday Sampath Kumar, 2022).

Coca-Cola countered this by concentrating on cost reduction, reasonably priced packaging, and strict pricing to maintain cash flow. (Coca Cola, 2022).

In 2023 as performance was bolstered by robust demand and moderate inflation. Due to better sales and price/mix balance, which increased cash generation and lessened liquidity strain, the company reported an operating cash flow increase of \$861 million. And the Quick ratio increased to .95 (Coca Cola, 2023).

But according to AP News, the company was expecting slower growth in the future as inflation decreased, which would tighten short-term liquidity.(Dee Ann Durbin, 2023, AP news).

Coca-Cola's quick ratio decreased in 2024 as operating cash flow fell 41% as a result of increased working capital outflows and tax litigation payments.(Coca Cola, 2024) Additionally, the business raised €1.9 billion in debt, increasing its short-term liabilities.(Food Business, 2024) Then Coca-Cola concentrated on strict cash-flow management

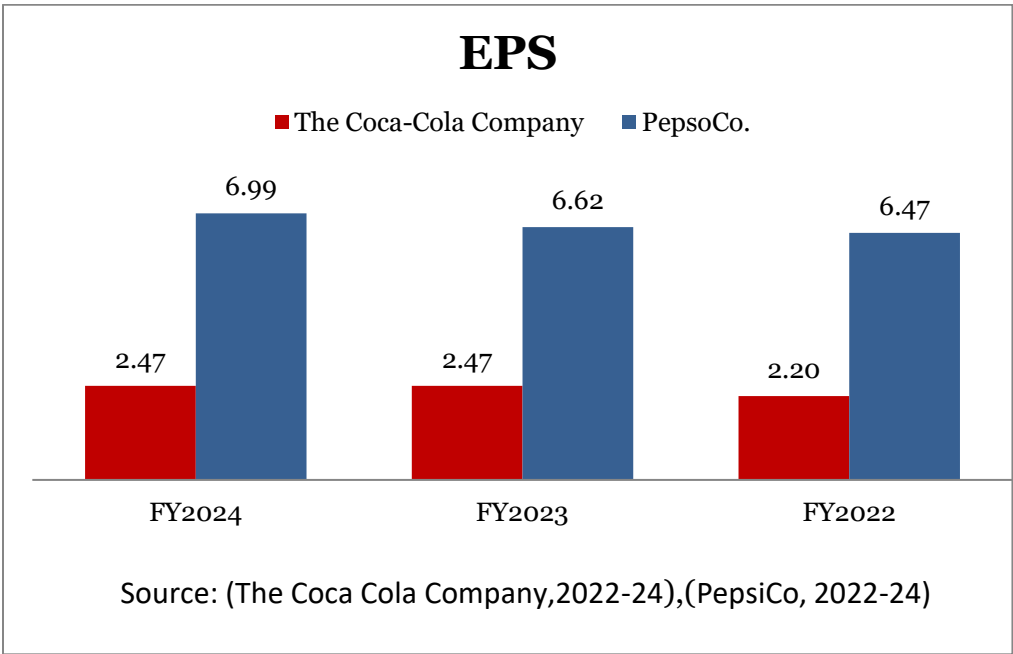
and keeping flexible borrowing options to counteract liquidity pressure.(Coca Cola, 2024).

With an accounts receivable turnover ratio of 8.9 in 2024, PepsiCo demonstrated excellent efficiency in collecting receivables, collecting their average balance 8.9 times annually. As a result, the business had more cash on hand. (Alpha Query, n.d.)

Comparatively PepsiCo seems to have weak short-term liquidity. The company's quick ratio was 0.66 in 2023, indicating that it has little cash on hand to cover its short term obligations. This implies that in order to repay the debt, they could need to use long-term assets, which would impact its Debt to equity ratio. (Zhiyan Xu, 2025).

3. INVESTORS RATIO

(A) EARNINGS PER SHARE (EPS)



In 2022, there was a little drop in the ratio of 2.65% as the net income decreased. People are more health conscious and environmentally

friendly. Because Coca-Cola was the biggest plastic polluter affecting the seas because of this it faced declined income (Break free from plastic, 2022)

Additionally the company also faced foreign exchange rate challenges as the United States dollar strengthen against few of currencies which impacted the revenue of the company along with other US giant companies (Anmol Karwal, 2022).

However, in 2023, the ratio improved by 12.3% as the company engaged in AI technology campaigns and engaged with consumers to better acknowledge their preferences, and rising its earning. (Elizabeth Mixson, 2022).

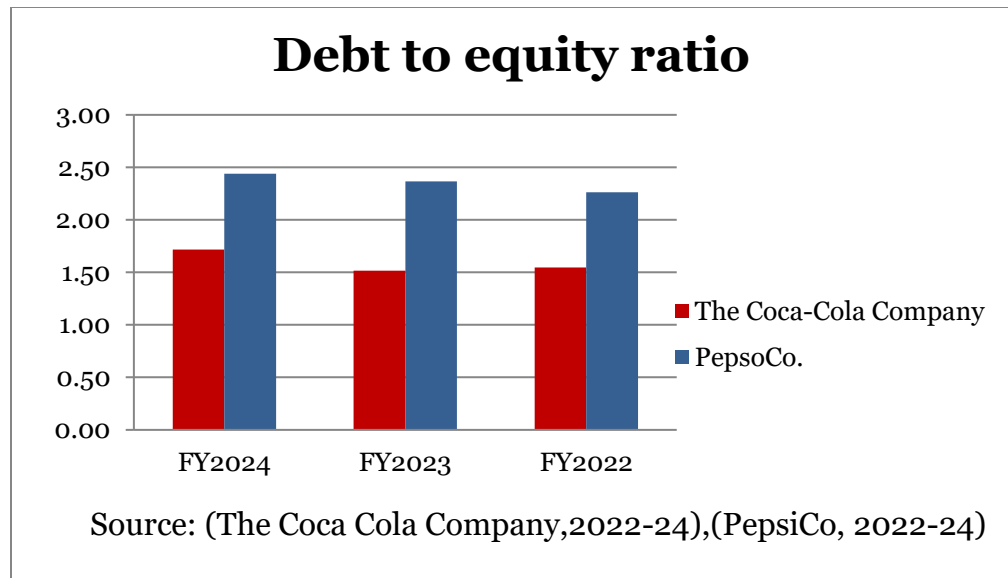
In 2023–2024, Coca Cola faced input cost and foreign exchange volatility pressures, such as sugar and currency translation, which contributed to the flattening of EPS in the year 2024 (London Stock Exchange, 2025).

PepsiCo has a significantly high EPS as compared to that of Coca-Cola as PepsiCo. Not only has been a drink manufacturer but also it diversified its operations and products over its lifespan with many revenue streams (Shobhit Seth, 2023). As evidenced by the table below, it had a constantly rising EPS which makes probable for the company to distribute its profits to shareholders.

PepsiCo increased its organic revenue in India by double digits in 2024 in both its convenient foods and beverages segments. This increased scale and profitability led to higher earnings and, consequently, improved earnings per share (Akshara Srivastava, 2024).

4. SOLVENCY RATIO

(A) DEBT TO EQUITY RATIO



Coca-Cola's debt-to-equity ratio for 2022 remained at roughly 1.55, indicating the company's ongoing reliance on debt financing to fund operations and international expansion. As the company issued more long-term debt to finance share repurchases and marketing expenditures, but the ratio marginally decreased from 1.69 in 2021. Returns were increased, but financial leverage and exposure to future interest rate were also increased (Chase Carmichael, 2022)

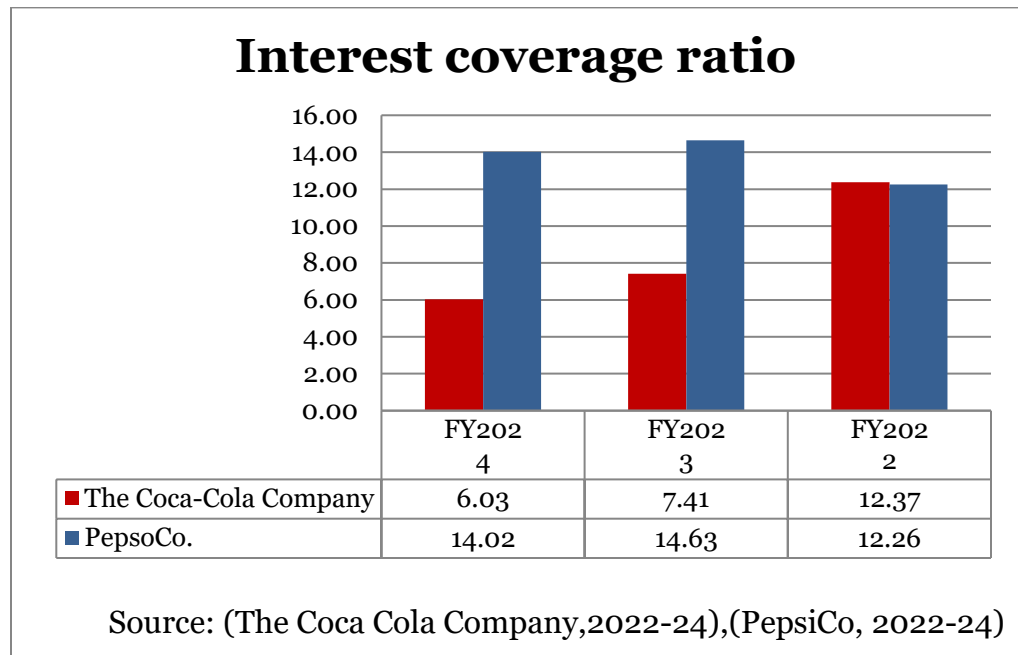
From 1.55 in FY 2022 to 1.52 in FY 2023 and then to 1.72 in FY 2024, Coca-Cola's D/E ratio increased marginally. The slight decline in 2023 was a result of cautious borrowing during the post-pandemic recovery and high retained earnings, which helped controlled leverage (Coca Cola, 2024).

Due to a rise in debt issuance and the use of commercial paper during that time, the increase from about 1.5 in 2022–2023 to about 1.7–1.8 in 2024 represents net new borrowings and refinancing activity rather than a significant drop in equity, resulting the increase (Coca Cola, 2024).

The management of PepsiCo said that financing productivity and restructuring initiatives, such as automation and capacity enhancements for its North American operations, accounted for a portion of the company's increased borrowing in 2023, 2024, thus increasing the ratio by 26% from the year 2022. (Simon Harvey, 2025).

Additionally company showed a sharp upward trend in short-term debt and long term debt from 2022 to 2024, but in 2023 the short term debt increased by 90% indicating an increased reliance on short-term financing resulting in increased ratio. (SEC, n.d.)

(B) INTEREST COVERAGE RATIO



Due to continued investments and the strength of away-from-home channels, the volume of unit cases worldwide increased by 5% in 2022. Despite currency headwinds, operating income increased by 6% for the year thanks to strict cost control implemented (Rafaela Sousa, 2023).

But Coca-Cola was more susceptible to rising interest rates globally as of September 2023 because over 40% of its debt was subject to floating rates. Coca-Cola's borrowing costs increase in tandem with any increase in benchmark rates due to this exposure. When interest rates peaked in 2023, the company's finance expenses skyrocketed, placing pressure on interest coverage ratios, and decreasing it significantly. (Fitch Ratings, 2023)

Due to its reliance on debt refinance and short-term commercial paper to finance operations and shareholder distributions, Coca-Cola's financing costs increased further in 2024. Interest payments directly

increased as the company's commercial-paper balance increased from \$2.1 billion in 2022 to \$4.2 billion in 2024 (Coca Cola, Form-10-Q, 2024).

The structural reality of PepsiCo's dual beverage and snack business is reflected in its higher capital intensity and interest costs; however, cash flow strength and careful debt management keep coverage at healthy levels making it all time high (Nasdaq, 2023).

PepsiCo's ratio marginally affected to 14 by 2024, indicating improved cost control and productivity gains under its Productivity Agenda in addition to steady cash flow generation and maintaining its ICR (Sian Yates, 2025).

Conclusion

Strategic and operational challenges

Beverage firms were under pressure from sugar limits and healthier beverage trends. Coca-Cola's market share and pricing power were threatened by strong regional competitors in key areas. Smuggling and uncertified sourcing in Sudan's conflict zones placed Coca-Cola at ethical and reputational danger. To maintain food safety, FDA enforces strict restrictions. Due to pandemic and geopolitical disruptions, food and beverage businesses suffer supply chain challenges as customer requirements shift. Plastic use in the beverage industry is frequently questioned, with most bottles incorrectly disposed of. Inflation caused shifting consumer behaviors, increased operational and production expenses, and lower company profitability. Companies must refill or reuse beverages, utilise recycled plastics, and make packaging 100% recyclable by 2030 under new packaging standards.

In ratio analysis, profitability ratios fell owing to rising input costs and marketing expenses to sustain sales. Short-term debt and foreign exchange losses lowered current and quick ratios. Both firms' EPS grew due to AI initiatives to better understand client preferences. Companies' debt-equity ratios are rising as they employ debt to support operations and overseas development.

Management reaction to issues

- Coca-Cola used its worldwide scale and cost advantages to improve manufacturing efficiency and geographic accessibility.
- Coca Cola started using recycled packaging to reduce pollution.
- Both beverage firms used AI to improve consumer experience and social exposure.
- To challenge local competitors like Campa, both corporations are entering and growing into developing regions to preserve global competitiveness.
- Both firms are forming strong strategic partnerships with reputable suppliers to ensure product availability.
- Coca Cola and Pepsi boosted prices to battle inflation and improve financials under rising input costs.